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The Skincare Investigation · 01

The $9.4 Billion Customer Beauty Keeps Undervaluing

Black consumers are driving growth in beauty. Black-founded brands are capturing a fraction of the value — and even exceptional performance isn't enough to close the funding gap.

BOYOWA OLUGBO · MANAGING DIRECTOR, PRAXIS BRANDS

FIRST PUBLISHED 11 AUGUST 2026 · THIS EDITION NOVEMBER 2026

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Where beauty grows.

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BOYOWA
AUG 11, 2026

The numbers tell a story that the skincare industry would rather keep concealed beneath layers of hydrating serums and brightening creams. Black consumers contributed $9.4 billion to the American beauty market in 2023, with projections pushing that figure towards $10.2 billion in 2024.[1] Yet Black-owned brands capture just 2.5% of the industry's revenue.[2] This isn't merely a gap — it's a chasm, one that reveals how an entire sector has been built upon Black spending whilst systematically excluding Black ownership, Black science, and Black skin from its foundations.

And let us dispel one tired assumption from the outset: not all Black people use Palmer's Cocoa Butter or Aveeno. No, we don’t all want to smell like a birthday cake.



Black consumers are increasingly investing in prestige skincare, clinical formulations, and luxury treatments, and that spending is growing faster than the US beauty market as a whole — in dollars, in units, and in households.[3] They deserve products formulated with their skin in mind, not retrofitted marketing campaigns that treat diversity as a trend rather than a requirement.

The Funding Collapse: From Promise to Abandonment

The year 2020 promised transformation. Following the murder of George Floyd and the global reckoning that followed, corporate pledges flowed freely. Retailers committed to shelf space. Investors spoke of addressing systemic inequity. For a moment, it seemed the industry might finally acknowledge what Black founders had long known: that serving Black consumers required more than shade extensions in foundation lines.



That moment has passed. The data is damning. Funding for Black-founded startups in America plummeted from $4.9 billion in 2021 to $700 million in 2024.[4] In 2023, funding dropped 71% to $705 million—the first time since 2016 that the figure didn't exceed $1 billion.[5]

The entire beauty industry raised $816.1 million across 181 VC deals in 2024,[6] with Black-founded brands capturing a disproportionately small fraction of this total. The promises of 2020 have evaporated like so many overpriced toners.

Note how the retreat gets described from inside the industry: support that has changed, momentum that has faded, a climate that has shifted. Never investors who decided to stop writing cheques. The passive voice does a great deal of work in venture capital.

> **Ami Colé: When Doing Everything Right Isn't Enough**



The closure of Ami Colé in September 2025 crystallised this crisis. Founded by Diarrha N'Diaye-Mbaye in 2021, the brand had won over 80 industry awards, earned a place on Oprah's Favourite Things list, and secured investment from L'Oréal's BOLD venture fund in September 2024, at which point it was reporting 75% year-on-year revenue growth. That investment was itself a milestone of a sort: Carol Hamilton, L'Oréal's group president of acquisitions and business development, said it marked the first time the company had provided early-stage funding to a Black founder with a primarily Black customer base.

L'Oréal was founded in 1909. The brand it finally backed lasted twelve more months.[8]

"I couldn't compete with the deep pockets of corporate brands; at retail stores, prime shelf space comes at a price, and we couldn't

afford it."

Diarrha N'Diaye-Mbaye, Founder of Ami Colé[9]

The brand raised more than $3 million in venture capital, secured placement in 600 Sephora stores,[10] and still couldn't survive. This isn't a story of business failure — it's a story of structural impossibility.

When even L'Oréal-backed, Sephora-stocked brands cannot sustain themselves, the problem lies not with founders but with an ecosystem designed to ensure their failure.

McKinsey's 2022 research quantifies the disparity with brutal precision: early-stage Black beauty companies raise 64% less in venture funding than their non-Black counterparts. Of 213 venture capital-backed beauty companies analysed, only 16 were Black-founded. The attrition rate for Black brands from early to late-stage funding sits at 86%, compared to 62% for non-Black brands. Even when they do secure funding, Black brands raise a median of $13 million versus $20 million for non-Black brands.[11]

Case Study: The Fastest-Growing Brand That Still Can't Compete

In 2020, a twenty-three-year-old Nigerian-American woman named Olamide Olowe launched a skincare brand called Topicals with $1,000 of her own money.



Within two years, Topicals had become Sephora's fastest-growing skincare brand. By 2022, Olowe had made history as the youngest Black woman ever to raise $10 million in venture capital funding. Jay-Z's Marcy Venture Partners invested.

So did Kelly Rowland.

So did Gabrielle Union.

The products — targeted treatments for chronic skin conditions like eczema and hyperpigmentation — were tested across all skin tones, from the lightest to the darkest on the *Fitzpatrick scale.* The brand's Instagram campaigns featured trips to Ghana. Its marketing spoke directly to Black consumers without alienating anyone else. Olowe had, by every available metric, done everything right.

And yet!

"We're one of the more resourced Black-owned brands, but, in general, we raised a fraction of what a lot of the other brands have."

Olamide Olowe, Founder of Topicals[40]

Let that register. The fastest-growing skincare brand at Sephora — a retailer that sells Drunk Elephant, La Mer, and every prestige label you can name — raised "a fraction" of what its competitors raised. Topicals' total venture funding, accumulated over five years of exponential growth, amounts to roughly $22 million. Drunk Elephant sold for $845 million after six years. The maths is not complicated.

"Being in retail is very difficult because it is expensive. Brands that are well financed are going to have an easier time."

— Olamide Olowe[40]



In January 2026, Topicals announced a new funding round. But the investors were not traditional venture capital firms. They were Angel Reese, the WNBA star. Rema, the Nigerian global music sensation. Cultural figures, not financial institutions.

Why? Because, as Olowe put it: “Investors are pulling back their belief in Black-owned... businesses.”[41]

Here is what the Topicals story reveals: Success is not sufficient. Sephora’s fastest-growing brand. Science-backed formulations. Products tested across skin tones. Mental health advocacy. Cultural authenticity. Celebrity endorsements. None of it was enough to secure the level of funding that a stay-at-home mother with no skincare experience received after showing early traction.

The industry’s response to Topicals has not been to shower it with capital. The industry’s response has been to watch, wait, and quietly assume that a brand serving Black consumers is “only for Black people” — and therefore limited in its potential.

This is not speculation so much as a perception Olowe has described repeatedly: that brands serving Black consumers are read as brands

only for Black consumers, and that the reading itself caps what investors believe they can become.

Topicals' customer base, for the record, is diverse. But the perception persists. And perception, in venture capital, is everything.

NEXT IN THE SKINCARE INVESTIGATION

02 — The Skin Skincare Forgot to Study

A note on race, skin and what follows and what happens when dermatological research doesn't adequately represent the people the skincare industry sells to.

ABOUT THIS RESEARCH

Diversity in Crisis: *The Skincare Investigation*

A six-part investigation into how the beauty industry's promises on inclusion compare with what it actually does, written by Boyowa Olugbo, Managing Director of Praxis Brands.

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